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STATE OF MICHIGAN

IN THE SUPREME COURT

APPEAL FROM THE MICHIGAN COURT OF APPEALS

JACQUELINE DAVIS,

Plaintiff-Appellant,

-vs-

BetMGM, LLC,

Defendant-Appellee,

Supreme Court No. 166281

Court of Appeals No. 363116

Wayne County Circuit Court
No. 21-006981-CK

_____/

PLAINTIFF-APPELLANT'S BRIEF ON APPEAL

***** ORAL ARGUMENT REQUESTED *****

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STATEMENT OF QUESTIONS PRESENTED

I. DID THE COURT OF APPEALS MAJORITY ERR IN CONCLUDING THAT MS. DAVIS'S COMMON-LAW CLAIMS FOR FRAUD, CONVERSION, AND BREACH OF CONTRACT WERE PREEMPTED BY MICHIGAN'S LAWFUL INTERNET GAMING ACT, MCL 432.301, *et seq*?

Plaintiff-Appellant says "Yes."

Defendant-Appellee says "No."

II. DID THE COURT OF APPEALS MAJORITY ERR IN CONCLUDING THAT THE MICHIGAN GAMING CONTROL BOARD HAD EXCLUSIVE JURISDICTION TO ADDRESS MS. DAVIS'S COMMON-LAW CLAIMS?

Plaintiff-Appellant says "Yes."

Defendant-Appellee says "No."

III. ASSUMING THAT THE MICHIGAN GAMING CONTROL BOARD HAD JURISDICTION TO CONSIDER MS. DAVIS'S COMMON LAW CLAIMS, WOULD THE GAMING CONTROL BOARD BE REQUIRED TO AFFORD HER ALL OF HER COMMON-LAW REMEDIES?

Plaintiff-Appellant says "Yes."

Defendant-Appellee may or may not say "No."

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STATEMENT OF FACTS

In February 2021, Jacqueline Davis registered for an account with BetMGM LLC ("BetMGM"), allowing her to participate on BetMGM's internet gaming platform. By enrolling in this platform, Ms. Davis agreed to be bound by a multi-page document titled BetMGM's Terms of Service. Terms of Service (App 11a-78a).

Several provisions of these Terms of Service are of relevance to the issues presently before this Court. One section of the Terms of Service sought to disclaim all warranties with respect to any injury that might be caused by use of the services and software associated with the internet gaming that BetMGM would be providing. Terms of Service, §23 (App 25a-26a). That section of the Terms of Service expressly did not disclaim the liability of BetMGM based on the following:

> NOTHING IN THESE AGREEMENTS WILL OPERATE SO AS TO EXCLUDE ANY LIABILITY WE MAY HAVE IN RESPECT OF EITHER FRAUD, OR DEATH, OR PERSONAL INJURY CAUSED BY OUR NEGLIGENCE.

Id., §23.8 (App 26a).

Section 28 of the Terms of Service outlines the steps that any participant must take if he/she has complaints or disputes with BetMGM:

> If You have any complaints, claims or disputes with regard to any alleged winnings, alleged losses or the award or distribution of cash, prizes, benefits, tickets or any other item or items in a game, tournament, contest, drawing, promotion or similar activity or event or the manner in which a game, tournament, contest, drawing, promotion or similar activity or similar activity or event is conducted regarding the Services, You must submit Your complaint to Us in writing as soon as is reasonably practicable following the date of the original transaction to which the claim or dispute refers.

Id., §28 (App 27a).

This section continued with: "To the extent You are not satisfied with our response You *may* contact the Michigan Gaming Control Board. . ." *Id* (emphasis added).

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Finally, in the section of the Terms of Service pertaining to "governing law," Ms. Davis "irrevocably agree[d] to submit to the exclusive jurisdiction of the courts of Michigan for settlement of any disputes or matters arising out of or concerning these Agreements or their enforceability." *Id.*, §29 (App 27a).

On March 18, 2021, Ms. Davis deposited $50.00 into her BetMGM account allowing her to begin gambling on BetMGM's internet gaming system. Amended Verified Complaint, ¶14 (App 94a). Between that date and March 23, 2021, Ms. Davis frequently played a game offered by BetMGM called "Luck O'the Roulette." *Id.*, ¶¶15-23 (App 95a). Over this six day period, Ms. Davis gradually increased the amount of money she was wagering in this game.

On March 18, 2021, Ms. Davis made her first wager on the Luck O'the Roulette game, $4.50, and lost that bet. *Id.*, ¶15 (App 95a). She continued to play the game and, after each play, her BetMGM account would reflect either a credit for her winnings or a reduction for her losses. *Id.*, ¶16 (App 95a). By the conclusion of her first day of playing the game, Ms. Davis was wagering $150.00 per play and her account at the end of that day showed a balance of $20,077.74. *Id.*, ¶18 (App 95a).

She played the same game the following day, during which she increased her wager to $365 per play. *Id.*, ¶19 (App 95a). At the conclusion of that day, Ms. Davis's BetMGM account reflected a balance of $64,286.16. *Id.*

Ms. Davis did not place any internet bets on March 20, 2021. But, she returned to the Luck O'the Roulette game the following day, during which she increased her betting to $2,000 per play. *Id.*, ¶20 (App 95a). At the end of the day on March 21, 2021, her BetMGM account balance had increased to $488,498.24. *Id.*

On March 21, 2021, Ms. Davis submitted a request to BetMGM to withdraw $100,000 from

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her account. *Id.*, ¶25 (App 96a). The following day, she received an email from BetMGM congratulating her on her winnings. BetMGM Email 3/22/21 (App 79a). Ms. Davis's request for withdrawal of $100,000 from her account was approved and during the afternoon of March 23, 2021, she went to MGM Grand Casino in Detroit where she was given $100,000 from her account. Amended Verified Complaint, ¶27 (App 96a).

Meanwhile, Ms. Davis continued to play the Luck O'the Roulette game on March 22 and March 23. By the end of the day on March 22, she was wagering $5,000 per play and her account balance at the end of that day was over $2.5 million. *Id.*, ¶22 (App 95a). The following day, Ms. Davis continued to play the game and her account balance at the end of March 23 had climbed to $3,289,500.75. *Id.*, ¶22 (App 95a).

Shortly after Ms. Davis withdrew the $100,000 from her account, she received an email from the same BetMGM representative who had congratulated her on her winnings only days before. Email (App 80a). This time, the email bore different news; BetMGM was suspending Ms. Davis's account "given the volume of play generated." *Id.* The email further indicated that BetMGM believed "there was an error in the underlying game play . . . and your account is currently under review. . ." *Id.*

Following the suspension of her account, Ms. Davis repeatedly contacted BetMGM to discuss the suspension. Amended Verified Complaint, ¶29 (App 96a). During one of her telephone conversations with a BetMGM representative, Ms. Davis was told that her account was under review because she "was not supposed to win." *Id.*

On April 12, 2021, Jeremy Kolman, BetMGM's Director of Legal Affairs, wrote a letter to David Steingold, an attorney whom Ms. Davis had retained. Kolman Letter (App 81a-82a). In that

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letter, Kolman indicated that, as early as March 21, 2021, BetMGM "identified unusual activity" associated with Ms. Davis's account. According to Kolman's letter, there was a malfunction in BetMGM's system such that certain amounts that Ms. Davis won while playing Luck O'the Roulette were improperly multiplied when they were transferred to Ms. Davis's account.[1]

Ms. Davis filed this action in the Wayne County Circuit Court against BetMGM in June 2021. Verified Complaint (App 92a-100a). In that complaint and in an amended complaint filed the following month, Ms. Davis raised three common-law claims, fraud, conversion, and breach of contract. Amended Verified Complaint, ¶¶13-50 (App 94a-100a).

Between the time of the filing of her original and amended complaints, Ms. Davis, through her attorney, filed with the Michigan Gaming Control Board what has been referred to in this record as a Patron Dispute Form. That form described in somewhat less detail the facts that were contained in Ms. Davis's original and amended circuit court complaints.

On July 15, 2021, in lieu of filing an answer to Ms. Davis's circuit court complaint, BetMGM filed a motion to dismiss pursuant to MCR 2.116(C)(4). (App 101a-115a). In that motion, BetMGM offered three reasons why Ms. Davis's common-law claims should be dismissed. First, BetMGM argued that these claims were preempted by operation of Michigan's Lawful Internet Gaming Act, MCL 432.301, *et seq*, and the administrative rules adopted under the authority of that act. Brief in Support of Motion to Dismiss, at 4-7. (App 106a-109a). Second, BetMGM argued in its motion to dismiss that the circuit court, assuming it had subject matter jurisdiction over Ms. Davis's claims,

[1]In his letter, Kolman did not quantify the number of times that this purported mathematical error occurred to inflate the amount of Ms. Davis's winnings. But, in her verified complaint, Ms. Davis asserted that the error that Kolman claimed in his April 12, 2021 letter occurred in only 2.5% of Ms. Davis's plays. Amended Verified Complaint, ¶31 (App 97a).

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should defer to the authority of the Michigan Gaming Control Board (hereinafter: "the Gaming Board") under the doctrine of primary jurisdiction. *Id.*, at 7-12 (App 109a-114a). Finally, BetMGM contended that dismissal was appropriate because Ms. Davis had failed to exhaust her administrative remedies through the Gaming Board. *Id.*, at 12-13. (App 114a-115a).

On July 28, 2021, while BetMGM's motion to dismiss was still pending in the circuit court, David Hicks, Gaming Manager for the Gaming Board, wrote a letter to Ms. Davis in response to the Patron Dispute Form that her attorney had filed earlier that month. Hicks Letter (App 116a). In his letter, Mr. Hicks indicated that the complaint that Ms. Davis filed was important to the Gaming Board since it is "helpful in identifying possible violations of the Michigan Lawful Internet Gaming Act and Administrative Rules." *Id.*

In his letter, Mr. Hicks further indicated that the Lawful Internet Gaming Act (hereinafter: "LIGA") authorized the Gaming Board "to conduct any investigation it deems necessary as well as direct a gaming operator . . . to take corrective action as the Board consider appropriate." But, at the same time, Mr. Hicks noted in his letter the following limitation on the authority of the Gaming Board under LIGA and its administrative rules:

> Any investigation conducted by the Board is not intended to make a determination on the merits of any outstanding dispute or litigation between an authorized participant and the internet gaming operator and its internet gaming platform provider and accordingly should not be used for such purposes. Furthermore, the Board has no authority to award any money or other relief directly to an authorized participant.
>
> *Id.*

Mr. Hicks's letter concluded by noting that its investigation into Ms. Davis's complaint would continue, while again emphasizing that the Gaming Board "may only investigate whether a specific violation of the Michigan Lawful Internet Gaming Act and the related administrative rules

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has occurred." *Id.*

Ms. Davis filed a response to BetMGM's motion to dismiss which included as an exhibit a copy of Mr. Hicks's July 28, 2021 letter. Plaintiff's Response (App 117a-125a). In her response, Ms. Davis cited to a provision of LIGA, MCL 432.304(3), which provides that "a law that is inconsistent with the act does not apply to internet gaming as provided for by this act." But, Ms. Davis contended that the common-law claims that was asserting in this case were not inconsistent with LIGA. In response to BetMGM's arguments based on primary jurisdiction or the failure to exhaust administrative remedies, Ms. Davis relied on the information provided by Mr. Hicks in his July 28, 2021 letter in which he noted the limited nature of the Gaming Board's authority over disputes between patrons like Ms. Davis and internet gaming operators.

The circuit court held an initial hearing on BetMGM's motion to dismiss on December 8, 2021. (App 126a-159a). At that hearing, counsel for the parties disputed the authority of the Gaming Board to address the claims that Ms. Davis raised in her circuit court complaint. Counsel for Ms. Davis, citing Mr. Hicks' letter, argued that the Gaming Board had no such authority. BetMGM's attorney took the opposite position. Based on an administrative rule, Mich. Admin. Code, R. 432.641(7) promulgated under LIGA, counsel for BetMGM argued that the Gaming Board could, following an investigation into a patron complaint, "take any corrective action the Board considers appropriate," including awarding Ms. Davis the relief she sought in her circuit court action. Transcript 12/8/21, at 22-25 (App 147a-150a). In light of the fact that the Gaming Board was still investigating whether any violations of LIGA occurred, the circuit court decided at the December 8, 2021 hearing to put off consideration of BetMGM's motion to dismiss, until the Gaming Board provided further clarification of its role. *Id.*, at 31-32 (App 156a-157a).

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In January 2022, while BetMGM's dismissal motion was still pending, Ms. Davis filed a supplemental brief in her circuit court action. That supplemental brief included a January 24, 2022 email that had been sent by Mark Sands, an Assistant Attorney General in the Alcohol and Gambling Enforcement Division, to counsel for both Ms. Davis and BetMGM. Sands Email (App 181a). Mr. Sands' email, like David Hicks's July 2021 letter to Ms. Davis, addressed the Gaming Board's patron complaint process that Ms. Davis's attorney had initiated. And, like Mr. Hicks's letter, Mr. Sands's email confirmed the limited scope of this administrative process:

> Upon the receipt of a patron complaint, an investigation, and the finding of a violation of the Act or Rules, the Board may direct a licensee to take any corrective action the board considers appropriate. But what the Board does not do is determine the validity of a dispute between the authorized participant and the licensee. That is, the determination that a licensee has or has not violated the Act or Rules is not an adjudication on the merits of the underlying authorized participant/licensee dispute because the Board does not have the authority to adjudicate such a dispute.

Sands Email (App 181a).

On February 10, 2022, David Murley, Deputy Director of the Gaming Board's Online Gaming and Legal Affairs Division, wrote two letters. One of these was to Ms. Davis and her attorney. Murley Letter #1 (App 182a). That letter referenced Mark Sands' January 24, 2022 email, reaffirming that the Gaming Board investigation into patron complaints was "not intended to determine the merits of any outstanding dispute or litigation between an authorized participant and the internet gaming operator . . ." *Id.* Consistent with the limited role of the Gaming Board, Mr. Murley's February 10, 2022 letter to Ms. Davis indicated that the Gaming Board would be conducting an investigation into Ms. Davis's complaint only to determine "whether there was a violation by BetMGM of the Act and Rules. And, if so, the appropriate remedy for such violation

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. . ." *Id.*[2]

The same day that Mr. Murley wrote this letter to Ms. Davis and her attorney, he sent another letter to Adam Greenblatt, the CEO of BetMGM. Murley Letter #2 (App 183a-185a). In that letter, Mr. Murley notified BetMGM that its investigation of Ms. Davis's administrative complaint revealed that BetMGM violated two Gaming Board rules. First, BetMGM was, pursuant to Mich. Admin. Code R. 432.632b(2), required to notify the Gaming Board immediately of "any defects or malfunctions of the internet gaming platform . . ." According to the Gaming Board's findings, BetMGM became aware of the purported malfunction in the Luck O' Roulette game several days before it notified the Gaming Board. Murley Letter #2, at 1 (App 183a). This late notification constituted a violation of Rule 432.632b(2). Mr. Murley's letter to BetMGM's CEO also noted that BetMGM had not fully cooperated with the Gaming Board's investigation into Ms. Davis's complaint, in violation of another administrative rule, Mich. Admin. Code R. 432.632a. Mr. Murley's letter to Greenblatt concluded by indicating that, despite BetMGM's violations of the two administrative rules, the Gaming Board determined that it would not impose formal disciplinary

[2]David Hicks's July 28, 2021 letter (App 116a), Mark Sands's January 24, 2024 email (App 181a), and David Murley's February 10, 2022 letter to Ms. Davis (App 182a), could not have made the position of the Gaming Board any clearer – the Gaming Board did not view itself as having the authority to adjudicate Ms. Davis's common-law claims against BetMGM. The clarity of these three missives has not prevented BetMGM from misrepresenting the Gaming Board's view of its authority throughout the course of this litigation. For example, in BetMGM's response to the application for leave that Ms. Davis filed in this Court, the defendant represented that, "[d]espite having the power to do so if it determined there was a violation, the [Gaming Board] did not require BetMGM to unsuspend Davis's account, which would have released the remaining account balance to Davis." Defendant's Answer to Application, at 6. This misstatement should be compared to the unequivocal contents of Mr. Hicks's letter, Mr. Sands's email, and Mr. Murley's letter, which made it clear three times over that "the Board does not . . . determine the validity of a dispute between the authorized participant and the licensee." Sands' Email (App 181a).

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action against BetMGM. Murley Letter #2, at 2 (App 184a).[3]

On May 5, 2022, the circuit court conducted a second hearing on BetMGM's motion to dismiss. (App 160a-180a).[4] At the conclusion of that second hearing, the circuit court indicated that it would take the motion under advisement. Tr. 5/5/22, at 20 (App 179a).

On June 29, 2022, the circuit court issued a written decision granting summary disposition to BetMGM. Opinion (App 186a-190a). In addressing the issues raised in BetMGM's motion, the circuit court noted "the dearth of authority interpreting LIGA . . ." Opinion, at 3 (App 188a). In light of that fact, the circuit court deemed it appropriate to rely on a Michigan statute that was enacted 23 years before LIGA, the Michigan Gaming Control and Revenue Act, MCL 432.201, *et seq*, and two

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[3]A copy of Mr. Murley's February 10, 2022, letter to BetMGM's CEO was not sent to Ms. Davis or her attorney. As a result, neither Ms. Davis nor her attorney was aware of this letter or the fact that the Gaming Board had concluded its investigation into the Patron Dispute Form filed on behalf of Ms. Davis. Ms. Davis's counsel did not become aware of Mr. Murley's letter closing the Gaming Board's investigation until after the circuit court granted BetMGM's motion to dismiss. Following the circuit court's decision, Ms. Davis's counsel obtained a redacted copy of Mr. Murley's letter through a Freedom of Information Act request. After obtained a copy of this letter, it was then submitted to the circuit court with a motion for reconsideration that Ms. Davis filed in July 2022. Motion for Reconsideration (App 193a-202a).

[4]At this hearing, counsel for defendant continued to insist that the circuit court should not act in the case because the Gaming Board was in the process of examining Ms. Davis's dispute. Thus, counsel for BetMGM argued at the May 5, 2022 hearing:

> But even if the Court did have jurisdiction, it is appropriate for the Gaming Control Board the opportunity to look at this matter first and make whatever decisions they choose to make, rather than this Court potentially having alternative views or conflicting decisions.
>
> Tr. 5/5/22, at 7 (App 166a).

This representation was made to the circuit court despite the fact that the Gaming Board, through Mr. Murley's February 10, 2022 letter to Greenblatt (App 183a-185a), had notified BetMGM three months earlier that its investigation into Ms. Davis's complaint was at an end.

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decisions of the Michigan Court of Appeals construing that earlier act, *Papas v Gaming Control Board*, 257 Mich 647; 669 NW2d 326 (2003) and *Kraft v Detroit Entertainment, LLC*, 261 Mich App 534; 683 NW2d 200 (2004). Based on this authority, the circuit court concluded that LIGA "establishes an all-inclusive preemption clause that precludes inconsistent common-law claims." Opinion, at 4 (App 189a).

Relying on *Kraft* and several administrative rules that have been issued on the basis of the LIGA, the circuit court offered the view that "it appears that the Legislature sought to avoid conflicting standards regarding the implementation and enforcement of internet gaming by preempting inconsistent laws." Opinion, at 5 (App 190a). On that basis, the circuit court concluded that Ms. Davis's common-law claims were preempted.

On June 29, 2022, the circuit court signed an order granting summary disposition to BetMGM. Order (App 191a). Ms. Davis filed a timely motion for reconsideration. Motion (App 192a-202a). The circuit court denied that motion in an order dated September 14, 2022. Order (App 203a-204a).

Ms. Davis appealed the dismissal of her common-law claims to the Michigan Court of Appeals. On September 28, 2023, a two-person majority of that Court issued a published decision affirming the circuit court's ruling. *Davis v BetMGM, LLC*, ___ Mich App ___; ___ NW3d ___ (2023) (App 205a-212a). The majority opinion began its analysis of the legal issue presented in the case with this statement: "A state statute may preempt common-law claims by providing an exclusive statutory remedy." Majority Opinion, at 3 (App 207a). In assessing whether this case fell under that rule, the majority recognized that this was dependent on LIGA's language.

The majority opinion set out the provisions of LIGA and its applicable regulations outlining

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the powers and authority of the Gaming Board. *Id.*, at 6 (App 210a). The majority further noted that LIGA contains a specific provision specifying that "[a] law inconsistent with this act does not apply to internet gaming as provided for in this act." MCL 432.304(3). According to the Court of Appeals majority, the central question for purposes of the preemption issue that the circuit court had decided reduced to the following:

> The question then becomes whether plaintiff's common-law claims for fraud, conversion, and breach of contract are inconsistent with LIGA. We conclude that they are. LIGA . . . is "comprehensive legislation" that "prescribes in detail a course of conduct to pursue and the parties and things affected, and designates specific limitations and exceptions." *Kraft*, 261 Mich App at 545. In *Kraft*, this Court noted the "expansive and exclusive authority" of the [Gaming Board] to "regulate all aspects of casino gambling in Michigan" under MGCRA. *Id.* at 249.
>
> Majority Opinion, at 6 (App 210a).

The majority was willing to concede that only a portion of Ms. Davis's common-law claims appeared to be explicitly based on defendant's alleged violations of LIGA or the rules promulgated under that act. *Id.*, at 7 (App 211a). Nevertheless, the majority concluded that all of Ms. Davis's claims were preempted because they "nevertheless conflict with the MGCB's authority to regulate all aspects of internet gaming." *Id.*

After determining that Ms. Davis's claims were preempted by LIGA, the Court of Appeals majority added one other paragraph to its opinion in which it offered the view that the circuit court was without subject matter jurisdiction to consider Ms. Davis's cause of action since exclusive jurisdiction over it rested with the Gaming Board. *Id.*, at 7-8 (App 211a-212a).

Judge Kathleen A. Feeney dissented from the majority's determination. (App 213a-219a). Judge Feeney noted that both the Attorney General and the Gaming Board took the position that the Gaming Board's role was "to enforce the statute and gaming rules, and that it is not the [Gaming

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Board's] role to adjudicate disputes between patrons and casinos." Dissent, at 2 (App 214a). Thus, while acknowledging the Gaming Board's substantial authority over the licensing of on-line casinos and the oversight which it has over operations and procedures, "[w]hat is not found in the list is the authority, much less the obligation, to resolve individual patron disputes such as that presented here." *Id.*, at 5 (App 217a).

On October 20, 2023, Ms. Davis filed an application for leave to appeal in this Court. On May 29, 2024, the Court issued an order granting her application. *Davis v BetMGM, LLC*, ___ Mich ___; 6 NW3d 363 (2024). (App 220a). In its order granting leave, the Court instructed the parties to address two issues:

> Whether (1) each of the plaintiff's common law claims is inconsistent with and preempted by the Lawful Internet Gaming Act (LIGA), MCL 432.301 *et seq.*, such that the Wayne Circuit Court lacked subject matter jurisdiction over this action; and (2) the Michigan Gaming Control Board (MGCB) has jurisdiction, exclusive or otherwise, over common law claims regarding contract or account disputes, and if so, what statutes or administrative rules govern its resolution of the dispute.
>
> (App 220a).

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ARGUMENT

I. THE COURT OF APPEALS ERRED IN CONCLUDING THAT MS. DAVIS'S COMMON-LAW CLAIMS WERE PREEMPTED BY THE LAWFUL INTERNET GAMING ACT, MCL 432.301, *et seq*.

The first question that the Court has asked the parties to address in its May 29, 2024 order is whether Ms. Davis's common-law claims are "inconsistent with and preempted" by the LIGA. The Court of Appeals majority ruled that Ms. Davis's claims were, in fact, inconsistent with LIGA and, on that basis, determined that these claims were preempted. The Court of Appeals majority erred in reaching this result.

A. Preemption In Michigan Law.

Michigan courts have utilized the terminology of preemption in three distinct contexts. First, like courts around the country, Michigan courts have had to confront in a number of cases the question of whether Michigan statutes or its common law have been preempted by operation of federal law under the Supremacy Clause of the United States Constitution, U.S. Const., Art VI, cl. 2. *See e.g. People v Hegedus*, 432 Mich 598; 443 NW2d 127 (1985) (preemption under the federal Occupational Safety and Health Act, 29 USC §651, *et seq*); *Ryan v Brunswick Corp*, 454 Mich 20; 557 NW2d 541 (1997); abrogated in part on other grounds, *Sprietsma v Mercury Marine*, 537 US 51, 63-64 (2002) (preemption under the Federal Boat Safety Act, 46 USC §4301, *et seq*); *Arbuckle v General Motors LLC*, 499 Mich 521; 885 NW2d 232 (2016) (preemption under §301 of the Labor Management Relations Act, 29 USC §185(a)).

This Court has also used the term preemption to describe the potential effect of a Michigan statute in displacing the operation or enforcement of a local ordinance or regulation. *See e.g. Michigan Gun Owners, Inc v Ann Arbor Schools*, 502 Mich 695; 918 NW2d 756 (2018) (effect of

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state law regulating firearms use, MCL 123.110, *et seq*, on a school district's ban on guns on school property); *DeRuiter v Township ov Byron*, 505 Mich 130; 949 NW2d 91 (2020) (enforcement of local ordinance governing medial marijuana in light of the Michigan Medical Marihuana Act, MCL 333.26421, *et seq*); *People v Llewellyn*, 401 Mich 314; 257 NW2d 902 (1977) (enforcement of a municipal obscenity law in the face of Michigan's anti-obscenity statutes, MCL 750.343a, *et seq*).

Finally, Michigan courts have often (but not always[5]) used the term preemption to describe the preclusive effect of a state statute or a state regulatory scheme on a plaintiff's right to pursue a common-law cause of action. *See e.g. Hoerstman General Contracting, Inc v Hahn*, 474 Mich 66; 711 NW2d 340 (2006) (whether the adoption of MCL 440.3311 preempted common-law accord and satisfaction); *Wold Architects and Engineers v Strat*, 474 Mich 223; 713 NW2d 750 (2006) (whether Michigan's adoption of statutory arbitration preempted common-law arbitration); *Anderson v Pine Knob Ski Resort Inc*, 469 Mich 20; 664 NW2d 756 (2003) (whether plaintiff's common-law claims are preempted by the Ski Area Safety Act, MCL 408.321, *et seq*).

While the context in which preemption principles have been invoked may differ, there is significant overlap in the manner in which Michigan courts have addressed these varying preemption cases. First, since all three forms of preemption are dependent on positive legislative enactments, this Court has stressed the primacy of the statutory language involved in assessing preemption questions.

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[5]This Court has, particularly in recent years, addressed the potential preclusive effect of a Michigan statutory scheme on a plaintiff's common-law claims while avoiding use of the term "preemption." *See e.g. Dawe v Dr. Reuven Bar-Levav & Associates, P.C.*, 485 Mich 20; 780 NW2d 272 (2010); *Velez v Tuma*, 492 Mich 1; 821 NW2d 432 (2012); *Murphy v Inman*, 509 Mich 132; 983 NW2d 354 (2022); *McMaster v DTE Energy Corp*, 509 Mich 423; 984 NW2d 91 (2022); *Janini v London Townhouses Condominium Ass'n*, ___ Mich ___; ___ NW2d ___ (2024). While these cases have, by and large, used the same tests to determine if the common law had been displaced by a Michigan statute as those employing preemption analysis, these cases have eschewed the actual use of that term.

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Thus, in considering federal preemption of Michigan law, this Court has recognized that "the extent to which federal law actually preempts state authority is a question of congressional intent." *Hegedus*, 432 Mich at 607; *Ryan*, 454 Mich at 27 ("congressional intent is the cornerstone of preemption analysis"); *Henry v Laborers' Local 1191*, 495 Mich 260, 275; 848 NW2d 130 (2014).

Similarly, this Court has recognized that the beginning point in determining whether a state statute preempts a local ordinance must rest on the intent of the Legislature in passing that statute. *Michigan Gun Owners*, 502 Mich at 706 ("The question [of preemption] at bottom, is one of statutory intent, and we accordingly 'begin with the language employed . . . and the assumption that the ordinary meaning of that language accurately expresses the legislative purpose.'"), quoting *Morales v Trans World Airlines, Inc*, 504 US 374, 383 (1992); *DeRuiter*, 505 Mich at 139 ("Whether a state statute preempts a local ordinance is a question of statutory interpretation . . .").

This same approach is required in determining whether a state statute preempts the common law. As this Court observed in *Millross v Plum Hollow Golf Club*, 429 Mich 178; 413 NW2d 17 (1987): "whether or not a statutory scheme preempts the common law on a subject is a matter of legislative intent." *Id.*, at 183; *Hoerstman*, 474 Mich at 74; *Murphy v Inman*, 509 Mich 132, 153, n. 47; 983 NW2d 354 (2022); *McMaster v DTE Energy Corp*, 509 Mich 423, 434; 984 NW2d 91 (2022) ("As with other issues of statutory interpretation, the overriding question is whether the Legislature intended to abrogate the common law.").

Among these three distinct types of preemption cases, there is also a general consistency in the factors that Michigan courts have considered in finding a law, a local ordinance, or the common law to be preempted. On the subject of federal preemption, the Court has noted that "[f]ederal law may preempt state law in multiple ways." *Foster v Foster*, 505 Mich 161, 166; 949 NW2d 102

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(2020). That preemption may be express or implied. There are situations in which Congress has expressly stated its intent to preempt state law. *Ryan*, 454 Mich at 28; *Foster*, 505 Mich at 167. But, in addition to this concept of express preemption, federal law may impliedly preempt Michigan law. As the Court explained in *Ryan*, this implied preemption may be found where state law is in "direct conflict with federal law or with the purposes and objectives of Congress." 454 Mich at 28. The Court has held that this type of conflict preemption arises "when compliance with both federal and state regulations is a physical impossibility . . . or when state law 'stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress." *Hegedus*, 432 Mich at 621.

The case law on the federal preemption of state law has also embraced what has become generally known as field preemption, which "acts to preempt state law where federal law so thoroughly occupies a legislative field that it is reasonable to infer that Congress did not intend for states to supplement it." *Ryan*, 454 Mich at 28*; Henry*, 495 Mich at 275; *Hegedus*, 432 Mich at 617.

The Court has been guided by comparable considerations in addressing whether a state statute preempts a local ordinance. Such preemption will be found where the statute in question "expressly provides that the state's authority to regulate in a specified area of the law is to be exclusive . . ." *Llewellyn*, 401 Mich at 323; *Michigan Gun Owners*, 502 Mich at 702-704. A local ordinance will also be subject to a state statute's preemptive effect where the ordinance is in direct conflict with a statute. *Llewellyn*, 401 Mich at 322. Such direct conflict will be found where "the ordinance permits what the statute prohibits or the ordinance prohibits what the statute permits." *Id.*, at 322, n. 4; *see also Ter Beek v City of Wyoming*, 495 Mich 1, 20; 846 NW2d 531 (2014). In assessing the possible preemptive effect of a state statute on a local ordinance, this Court has also recognized a type of field

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preemption, where "the state statutory scheme . . . occup[ies] the field of regulation that the municipality seeks to enter . . ." *Ter Beek*, 495 Mich at 20; *Michigan Gun Owners*, 502 Mich at 704-705.

Finally, in the cases in which Michigan courts have discussed the preemptive effect of a state statute on a common-law claim, similar conclusions have been reached. This Court has recognized that a state statute may expressly preempt common-law claims by, for example, explicitly declaring that a particular statutory remedy is exclusive. *See Millross*, 429 Mich at 185-186 (preempting a common-law claim for damages against the server of alcohol on the basis of the exclusive remedy provision of the dramshop act now contained in MCL 436.1801(9)); *Jackson v PKM Corp*, 430 Mich 262, 274-277; 422 NW2d 657 (1988) (same).

This Court has also recognized a form of implied field preemption in this context as well, holding that "[w]here legislation is comprehensive, providing 'in detail a course of conduct to pursue and things affected, and designates specific limitations and exceptions,' then there is a legislative intention that a statute preempt common law." *Kyser v Kasson Township*, 486 Mich 514, 539; 786 NW2d 543 (2010), quoting *Hoertsman*, 477 Mich at 74; *see also Millross*, 429 Mich at 183.

This general summary of the three areas in which Michigan courts have employed the concept of preemption demonstrates the similarities in the application of the preemption doctrine. There is, however, one area of difference between these three areas that is relevant to the issue presented in this particular case, where BetMGM has successfully argued that Ms. Davis's common-law claims of fraud, conversion, and breach of contract have been preempted by a state statute.

B. How Preemption Of Common-Law Claims Differs.

This case obviously involves one of the three areas discussed in the prior section of this brief

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– BetMGM's argument that a state statutory scheme, LIGA, preempts Ms. Davis's common-law claims. The common law is provided for in the Michigan Constitution. Article 3, §7 of Michigan's Constitution specifies that "[t]he common law and statute laws now in force, not repugnant to this constitution, shall remain in force until they expire by their own limitations, or are changed, amended, or repealed." The common law "prevails except as abrogated by the Constitution, the Legislature, or this Court." *People v Woolfolk*, 497 Mich 23, 25; 857 NW2d 524 (2014); *People v Aaron*, 409 Mich 672, 722; 299 NW2d 309 (1980).

This Court has recognized that the words "changed, amended, or repealed" in art 3, §7 of Michigan's Constitution refer to either legislative alteration of the common law or its judicial modification by this Court. *Myers v Genesee County Auditor*, 375 Mich 1, 7; 133 NW2d 190 (1965); *Placek v City of Sterling Heights*, 405 Mich 638, 657; 275 NW2d 511 (1979); *Woodman v Kera, LLC*, 486 Mich 228, 269; 785 NW2d 1 (2010) (opinion by Markman, J.).

Michigan courts have uniformly recognized that "legislative amendment of the common law is not lightly presumed." *Wold Architects*, 474 Mich at 233; *Dawe v Dr. Reuven Bar-Levav & Assoc, P.C.*, 485 Mich 20, 28; 780 NW2d 272 (2010); *Velez v Tuma*, 492 Mich 1, 11; 821 NW2d 432 (2012). A basic principle of statutory interpretation is that the Legislature in passing legislation is aware of the common law. *Wold Architects*, 474 Mich at 234; *Dawe*, 485 Mich at 28. And, presuming that the Legislature is aware of the existing common law at the time that it acts, this Court has required that the Legislature "'should speak in no uncertain terms' when it exercises its authority to modify the common law." *Id.*, quoting *Hoerstman*, 474 Mich at 74; *see also Hamed v Wayne County*, 490 Mich 1, 22, n. 57; 803 NW2d 237 (2011) ("The Legislature is presumed to know the common law and any abrogation of the common law must be explicit."). Modification of the

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common law by legislation must be explicit and Michigan courts "will not extend a statute by implication to abrogate established rules of common law." *Valez*, 492 Mich at 11; *Rusinek v Schultz Lumber Co*, 411 Mich 502, 508; 309 NW2d 163 (1987); *People v Moreno*, 491 Mich 86, 96; 814 NW2d 624 (2012) ("statutes in derogation of the common law must be strictly construed and should 'not extend by implication to abrogate established rules of common law.'").[6]

C. The Relevant Statutes.

There are two gaming-related acts that the Court of Appeals relied on in its September 28, 2023 decision. The first of these acts, the Michigan Gaming Control And Revenue Act (hereinafter: "MGCRA"), was presented to and approved by Michigan voters in the November 1996 general election as Proposal E. That act was designed to "provide for the licensing, regulation, and control of casino gaming operations" in the state.

Among other things, MGCRA created the Gaming Board within the Department of the Treasury, "to fully and effectively execute and administer this act for the purpose of licensing, regulatory, and enforcing the system of casino gambling established under this act." MCL 432.204(1). Among the powers given to the Gaming Board in MGCRA was the authority to promulgate "the rules necessary to implement, administer, and enforce this act." MCL

[6]This Court's admonition that it will not "extend a statute by implication" to modify existing common-law principles casts considerable doubt on the scope of preemption where that concept is invoked to displace common-law claims. As described in the prior section of this brief, preemption is either express or implied. *Ryan*, 454 Mich at 28; *Hegedus*, 432 Mich at 607. Among the types of implied preemption that this Court has identified is field preemption which exists where "the Legislature has *impliedly* occupied the field . . ." *Michigan Gun Owners*, 502 Mich at 704 (emphasis added); see also *Hegedus*, 432 Mich at 617, 620 (discussing field preemption as a form of implied preemption). But if, as this Court found in *Valez*, *Rusinek*, and *Moreno*, a statute cannot be extended by implication to abrogate the common law, it is doubtful whether any type of field preemption should ever be recognized as a basis for preemption where the body of law being preempted is the common law.

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432.204(14)(d).

Section 3(3) of MGCRA, MCL 432.203, a provision titled "construction with other laws," specifies "[a]ny other law that is inconsistent with this act does not apply to casino gaming as provided for by this act." MCL 432.203(3). This provision of MGCRA was twice employed by the Court of Appeals to reject attempts by a plaintiff to recover gambling losses based on statutes that existed long before MGCRA was enacted.

In the first of these two cases, *McEntee v Incredible Technologies, Inc*, unpublished per curiam opinion, issued March 16, 2006 (Docket No. 263818), 2006 WL 659347 (App 221a-223a), the plaintiffs lost money playing an arcade game and brought an action to recover the amounts they had lost under a pre-MGCRA Michigan statute, MCL 750.315.[7] The Court of Appeals in *McEntee* found that the arcade game that plaintiffs had been playing was governed by the MGCRA and, citing §3(3) of that act, the Court of Appeals held: "Any law that is inconsistent with the MGCRA does not apply to casino gaming." Thus, the Court of Appeals held that "plaintiffs' cause of action under MCL 750.315 is preempted by the MGCRA." *McEntee,* *3 (App 223a).

The Court of Appeals applied §3(3) of MGCRA again five years later in *Parise v Detroit Entertainment, LLC*, 295 Mich App 25; 811 NW2d 98 (2011). In that case, the plaintiff lost $600,000 gambling at one of the three Detroit casinos that had been authorized by MGCRA, and he instituted an action to recover his losses under another old anti-gambling statute, MCL 600.2939(1).[8]

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[7]That statute, which was first enacted in 1931, provides that a person who has lost "any sum of money . . . by playing or betting on cards, dice, or any other device in the nature of such playing or betting . . ." has the right to sue to recover the amount lost.

[8]That statute, which has existed in some form for over 150 years, allows a plaintiff to sue to recover "money or goods [that] came to the hands of the defendant by gaming . . ." MCL 600.2939(1).

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Once again, the Court of Appeals in *Parise* relied on §3(3) of MGCRA in rejecting the plaintiff's statutory claim, noting, "[s]ubjecting defendant to liability for patrons' gambling losses under MCL 600.2939(1) would be plainly inconsistent with the legalization of casino gambling as provided for by Proposal E and the MGCRA." 295 Mich App at 29.

The Court of Appeals in a third case, *Kraft v Detroit Entertainment, LLC*, 261 Mich 534; 683 NW2d 200 (2004), concluded that §3(3) of MGCRA preempted not only statutory claims, but also the plaintiff's common-law claims. In reaching this result, the *Kraft* Court first had to determine that the language contained in §3(3) of MGCRA – "any other law" – was sufficient to encompass the plaintiff's common-law claim:

> The MGCRA includes the following provision: "Any other law that is inconsistent with this act does not apply to casino gaming as provided for by this act." MCL 432.203(3). The Legislature's use of the phrase "[a]ny other law" implies that the preemption clause is all-inclusive when referring to the laws it was meant to encompass. That the phrase "[a]ny other law" sweeps broadly suggests that the Legislature meant to include common law in addition to legislative enactments.
>
> 261 Mich App at 546.[9]

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[9]There is reason to question the *Kraft* Court's conclusion that the term "any other law" in §3(3) of MGCRA was intended to encompass common-law claims. As discussed previously, under Const. 1963, art. 3, §7, the common law remains in effect until amended by the Legislature or altered by this Court. What this constitutional provision dictates is that, "whenever the Legislature enacts a statute that is inconsistent with the common law, the statute supercedes the common-law rule." *Woodman v Kera LLC*, 486 Mich 228, 267, n. 5; 785 NW2d 1 (2010) (Markman, J., concurring/dissenting); *Perez v Keeler Brass Co*, 461 Mich 602, 609; 608 NW2d 45 (2000) ("to the extent that the common law is inconsistent with the statute, the common law has been changed. . ."); *Sington v Chrysler Corp*, 467 Mich 144, 164; 648 NW2d 624 (2002). The obvious implication of Const. 1963, art. 3, §7 is that the Michigan Legislature, in crafting a statute containing a provision preempting "any other laws" that may be inconsistent with its provisions, never has a need to include the common law within the scope of the "law" preempted by such a statute for the simple reason that inconsistent provisions of the common law are automatically displaced by the statute itself by operation of the Michigan Constitution. For this reason, the *Kraft* Court's conclusion that the Legislature in drafting §3(3) of the MGCRA intended to include common-law claims is dubious.

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After concluding that §3(3) of MGCRA extended not only to positive laws as in *McEntee* and *Parise*, but also common-law claims, the Court of Appeals in *Kraft* proceeded to find that the plaintiff's common-law claims were preempted by MGCRA.[10] 261 Mich App at 551.

In 2019, the Michigan Legislature enacted LIGA, MCL 432.301, *et seq*, the statute at issue in this case.[11] The legislative findings that were incorporated into that act specified that the act's purpose was "to protect residents of the state who wager on games of chance or skill through the internet . . . [and] to regulate this activity by establishing a secure, responsible, fair, and legal system of internet gaming." MCL 432.302(d).

LIGA has its own preemption provision, which is found in §4(3) of the act, MCL 432.304(3): "A law that is inconsistent with this act does not apply to internet gaming as provided for in this act." Like MGCRA, LIGA assigns to the Gaming Board specific powers and duties specified in the act "and all other powers necessary to enable it to fully and effectively execute this act to administer, regulate, and enforce the system of internet gaming established under this act." MCL 432.305(1). Among the powers assigned to the Gaming Board is to "[c]onduct all hearings pertaining to violations of this act or rules promulgated under this act." MCL 432.309(1)(c). The act further mandates that the Gaming Board promulgate rules under the Administrative Procedure Act, MCL 24.201, *et seq*, to govern internet gaming in Michigan. MCL 432.310.

The Gaming Board has used the authority provided it under MCL 432.310 to promulgate a

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[10]Because of the prominence that the *Kraft* Court's preemption analysis has had in this particular case, the Court of Appeals preemption analysis in *Kraft* will be addressed separately in a later section of this brief.

[11]LIGA, it should be noted, was passed by the Legislature, not with "the approval of a majority of electors voting in a statewide general election . . ." *See* Const. 1963, art. 4, §41.

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extensive list of internet gaming rules. Mich Admin Code R. 432.611 to R. 432.676. Among the internet gaming administrative rules issued by the Gaming Board is Rule 432.641, pertaining to complaints to the Board filed by participants like Ms. Davis. That rule calls for an aggrieved participant to first attempt to resolve any dispute with the internet gaming operator. Mich. Admin. Code, R. 432.641(2)-(5). If such a dispute is not resolved through that process, the Gaming Board's rules provide:

> On receipt of a complaint from an authorized participant or notification of an unresolved complaint from an internet gaming operator or internet gaming platform provider, the board may conduct any investigation the board considers necessary and may direct an internet gaming operator or internet gaming platform provider to take any corrective action the board considers appropriate.
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> Mich. Admin Code, R. 432.641(7).

D. The Court Of Appeals Majority Erred In Its Preemption Analysis.

The two person majority of the Court of Appeals in this case concluded that Ms. Davis's common-law causes of action were preempted by the LIGA. The majority reached this result on the basis of its conclusion that the claims raised by Ms. Davis in this case were inconsistent with LIGA or the administrative rules promulgated under that act. The Court of Appeals majority seriously erred in a number of respects in reaching this conclusion.

The initial question that the Court of Appeals majority had to address was whether LIGA preempted the common-law claims that Ms. Davis was asserting, an issue that required consideration of LIGA's preemption provision, §4(3) of the act, which specifies that "*[a] law* that is inconsistent with this act does not apply to internet gaming as provided in this act" (emphasis added). The Court of Appeals majority found this issue resolved by its prior decision in *Kraft*. The majority reasoned

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as follows:

> In *Kraft*, this Court concluded that MGCRA was intended to preclude inconsistent common-law actions based on the provision that stated "[a]ny other law this is inconsistent with this act does not apply to casino gaming as provided for by this act." *Kraft*, 261 Mich App at 546. The same conclusion is warranted here in light of the LIGA's corresponding provision that "[a] law that is inconsistent with this act does not apply to internet gaming as provided for this act." MCL 432.304(3).
>
> Opinion, at 6 (App 210a).

This aspect of the Court of Appeals majority ruling is dubious at best because it does not account for the subtle, but significant difference between the language of §3(3) of MGCRA that was considered in *Kraft* and §4(3) of LIGA. The former indicated that "any other laws" inconsistent with the MGCRA would not apply to casino gaming, while §4(3) of LIGA referred only to "a law."[12]

The difference between these two formulations is highlighted by the decision of the Supreme Court of the United States in *Sprietsma v Mercury Marine*, 537 US 51 (2002). In that case, the Court considered an issue of federal preemption – whether the Federal Boat Safety Act of 1971, 46 USC §§4301, *et seq*, expressly preempted a state common-law claim for damages. The defendant in *Sprietsma* claimed preemption based on a provision in the federal act that provided that "a state may not establish . . . or enforce *a law or regulation*" establishing an equipment performance or other safety standard "that is not identical to a regulation prescribed under section 4302 of this section." 46 USC §4311 (emphasis added).

The Supreme Court in *Sprietsma* first has to consider whether reference in the federal statute's preemption provision to "a law" was broad enough to encompass a state common-law

[12]As explained in footnote 9, *supra*, there is reason to doubt the *Kraft* Court's holding that §3(3) of MGCRA and its terminology "any other laws" encompasses the common law. Similar reasoning would apply to refute the Court of Appeals holding in this case that "a law" in §4(3) of LIGA also covers claims brought under the common law.

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claim, as opposed to a state statute. The Supreme Court rejected the defendant's argument that the federal statute's reference to "a law" extended to preempt the plaintiff's common-law claims. The Court held, "the article 'a' before 'law or regulation' implies a discreteness – which is embodied in statutes and regulations – that is not present in the common law." 537 US at 63.

The ruling rendered by the Supreme Court of the United States in *Sprietsma* was actually discussed by the Court of Appeals in its decision in *Kraft*, construing the different language contained in §3(3) of the MGCRA. The panel in *Kraft* cited *Sprietsma*'s conclusion that "a law" in an express federal preemption provision would not cover a common-law claim. *Kraft*, 261 Mich App at 546, n. 6. But, the *Kraft* Court found the language in §3(3) of MGCRA to be different: "In contrast to the Federal Boat Safety Act, the Michigan Legislature issued the broad phrase 'any other law' in MGCRA. Therefore, on disposition in the present case is consistent with the conclusion rendered by the United States Supreme Court in *Sprietsma*." 261 Mich App at 546, n. 6. The discussion of *Sprietsma* in the Court of Appeals decision in *Kraft*, therefore, casts considerable doubt on the majority's conclusion in this case that LIGA's preemption provision allows for the preemption of common-law claims such as those that Ms. Davis raised in this case.

Based on the reasoning of the Supreme Court of the United States in *Sprietsma*, this Court should find that the entirety of the Court of Appeals preemption determination was error because §4(3) of LIGA does not even apply to common-law claims deemed inconsistent with LIGA. But even if the Court of Appeals majority were correct in concluding that §4(3) of LIGA and its prohibition against the enforcement of any inconsistent law applied to Ms. Davis's common-law claims, the Court of Appeals majority still seriously erred in concluding that those claims were preempted.

The Court of Appeals majority at least began its preemption analysis correctly, recognizing

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that the central question to be decided was one of legislative intent and that this determination had to "begin with the language of the statute itself . . . presum[ing] that the Legislature's intended meaning was as plainly expressed by the unambiguous language of the statute." Opinion, at 3 (App 207a).

The majority opinion reviewed the statutes providing for the authority of the Gaming Board, MCL 432.305 and MCL 432.309, and it also noted §4(3) of the act and its pronouncement that "[a] law that is inconsistent with this act does not apply to internet gaming as provided for by this act." Opinion, at 3 (App 207a).

After noting the impact of §4(3) – that "the Legislature intended LIGA to preempt inconsistent common-law claims." *id.*, at 6 (App 210a) – the majority announced that the central question to be resolved was "whether plaintiff's common-law claims for fraud, conversion, and breach of contract are inconsistent with LIGA." *Id.*

After identifying that the preemption issue presented in this case was dependent on whether Ms. Davis's common-law claims were inconsistent with LIGA, the Court of Appeals erred significantly in resolving this question. The majority ruled that Ms. Davis's claims were inconsistent with the LIGA based on the following reasoning: "LIGA, like MGCRA, is 'comprehensive legislation' that 'prescribes in detail a course of conduct to pursue and the parties and things affected and designates specific limitations and exceptions.'" Opinion, at 6 (App 207a). Thus, in attempting to resolve the question of whether Ms. Davis's common-law claims were somehow *inconsistent* with LIGA, the Court of Appeals majority relied solely on its own construction of the *comprehensive* character of LIGA and its administrative rules. Thus, the majority found that preemption was appropriate because Ms. Davis's claims "conflict with the [Gaming Board's] authority under LIGA

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to regulate all aspects of internet gaming." Opinion, at 7 (App 208a).

The Court of Appeals majority's resolution of the preemption issue presented in this case was completely wrong. The majority recognized, as it had to, that LIGA did not supplant all other law. By the express operation of §4(3) of that act, LIGA only served to displace any law that was *inconsistent* with its dictates. But, after recognizing that the central question presented for purposes of preemption was whether Ms. Davis's common-law claims were *inconsistent* with LIGA, the Court of Appeals majority proceeded to conclude that these claims were inconsistent precisely because LIGA was a comprehensive piece of legislation. Thus, a statute that even the Court of Appeals majority recognized to be non-comprehensive – it did not preempt any "law" that was *consistent* with it – was somehow deemed by the majority to preempt Ms. Davis's claims precisely because the statute was viewed by the majority as completely comprehensive.

The obvious interpretive error in the majority's ruling was clearly identified in this Court's decision in *Michigan Gun Owners*. The issue presented in that case was whether two school districts could adopt a policy banning firearms on school property. The plaintiffs in *Michigan Gun Owners* were firearm advocates who argued that state law preempted these local policies by implication because a state statute comprehensively "occupied the field" of gun regulation. The statute on which the plaintiffs relied in making this argument prohibited a "local unit of government" from regulating the ownership or possession of a gun. MCL 123.1107. The term "local unit of government" as used in that statute was defined as including "a city, village, township, or county." MCL 123.1102(6). That statutory term, however, did not include school districts. Because of that omission, this Court recognized that plaintiffs could not argue express preemption of the school district policies at issue in *Michigan Gun Owners*. 502 Mich at 703-704.

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The Court in *Michigan Gun Owners* then turned to the plaintiffs' field preemption argument, which it also rejected. While acknowledging that the pervasiveness of a legislative scheme could support a finding that the Legislature had "impliedly occupied the field," the Court in *Michigan Gun Owners* found such preemption foreclosed because "[h]ere, an unambiguous statute shows a legislative intent *not* to occupy the field." 502 Mich at 705 (emphasis in original). This Court added:

> Requiring courts . . . to consider *field* preemption even when an unambiguous statute establishes legislative intent to regulate the subject matter only partially would be an internally contradictory exercise and contrary to this Court's general rules of statutory interpretation. The Legislature's *partial* list of local units of government that may not regulate firearms answers, definitively, the field-preemption question.
>
> *Id.*, at 705-706 (emphasis in original).

The Court of Appeals majority in this case engaged in the same type of "internally contradictory exercise" identified by this Court in *Michigan Gun Owners* when it concluded that preemption of Ms. Davis's common-law claims could be based on the "comprehensive" character of LIGA and its administrative rules, despite the fact that §4(3) of the act unequivocally "shows a legislative intent *not* to occupy the field." 502 Mich at 705.

This Court's analysis in *Michigan Gun Owners* also highlights the overriding significance of an express preemption provision in any situation in which a party is claiming that the preemptive effect of a statute is to be implied. Since preemption in any of its forms is ultimately dependant on legislative intent, the Court in *Michigan Gun Owners* stressed the significance of any express preemption provision contained in the statute at issue in that case. The Court noted that, "[e]nactment of an express-preemption statute limited to specific local units of government implies that entities not included are not preempted." *Id.*, at 707. In support of this point, the Court adopted the following language from Justice Antonin Scalia's concurring opinion in *Cipollone v Liggett*

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Group, Inc, 505 US 504 (1992):

> Once there is an express pre-emption provision, in other words, all doctrines of implied pre-emption are eliminated.... The existence of an express pre-emption provision tends to contradict any inference that Congress intended to occupy a field broader than the statute's express language defines.
>
> *Id.*, at 547.

Prior to *Michigan Gun Owners*, this Court in *Ryan* relied on the same language from the *Cipollone* decision to reach a similar conclusion:

> [W]hen Congress has considered the issue of pre-emption and has included in the enacted legislation a provision explicitly addressing that issue, and when that provision provides a 'reliable indicium of congressional intent with respect to state authority' ... 'there is no need to infer congressional intent to pre-empt state laws from the substantive provisions' of the legislation.
>
> *Ryan*, 454 Mich at 28-29.

Cf Ter Beek, 495 Mich at 11 ("If the federal statute contains a clause expressly addressing preemption, 'we focus on the plain wording of the clause, which necessarily contains the best evidence of Congress' preemptive intent," quoting *Chamber of Commerce v Whiting*, 503 US 582, 594 (2011).

What is significant here is that LIGA does, in fact, have an express preemption provision in §4(3) of the act.[13] That express preemption provision evidences clear legislative intent that this act was meant to preempt only laws that are *inconsistent* with the act. As the Court's decisions in both *Michigan Gun Owners* and *Ryan* make clear, in light of this express preemption provision, all doctrines of implied preemption – including the implied field preemption analysis used by the Court

[13]In both *Kraft* and the unpublished decision cited earlier in this brief, *McEntee*, the Court of Appeals correctly identified §3(3) of the MGCRA as a preemption provision. *Kraft*, 261 Mich App at 546; *McEntee*, 2006 WL 659347, *3. (App 223a). The same applies to §4(3) of LIGA.

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of Appeals majority in this case – should be eliminated.

The Court of Appeals majority's approach to the preemption issue presented in this case was completely misguided. The majority erred in concluding that the "comprehensive" character of LIGA could give rise to the preemption of Ms. Davis's common-law claims. Under §4(3) of the act, the only laws that were designed to be displaced by that act were those that were inconsistent with it. And, contrary to the reasoning of the Court of Appeals majority, that inconsistency could not be supplied by the suggestion that LIGA occupied the entire field of online gaming since, by legislative decree in §4(3) of the act, *the act was never meant to occupy the entire field.*

This still leaves the question presented in this Court's May 29, 2024 order – whether Ms. Davis's common-law claims are "inconsistent with and preempted by" LIGA. Order (App 220a). While the term "inconsistent" as used in §4(3) of LIGA is not defined in that act, this Court has long held that "Courts will not hold the principles of the common law abrogated by implication, unless the common law and the statute are in direct conflict." *Smith v Martin*, 124 Mich 34, 35; 82 NW 662 (1900); see also *People v Tyson*, 511 Mich 1080, 1087; 992 NW2d 293 (2023) (Cavanagh, J., dissenting).

In other preemption cases, this Court has outlined what such a direct conflict would entail. For example, in *DeRuiter*, the Court considered whether a local ordinance was preempted because it conflicted with a state statute, Michigan's Medical Marihuana Act, MCL 333.26421. The Court held in *DeRuiter* that in this context, "a direct conflict exists when 'the ordinance permits what the statute prohibits or the ordinance prohibits what the statute permits.'" 505 Mich at 140, quoting *Llewellyn*, 401 Mich at 322, n. 4.

Such a definition of direct conflict when applied to the facts of this case, would render the

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same results under LIGA that the Court of Appeals reached in *McEntee* and *Parise* in its consideration of MGCRA. In those two cases, the Court of Appeals properly found a direct conflict between two antiquated anti-gambling statutes, MCL 750.315 and MCL 600.2939(1),that were in existence long before MGCRA was enacted in 1996 and remained part of Michigan's compiled laws after 1996. These two old statues were designed to eliminate a product of gaming – losses associated with gambling – something that MGCRA unquestionably allowed.

But, the common-law claims asserted in this case are fundamentally different. Ms. Davis's claims for recovery in tort and breach of contract do not permit what LIGA prohibits, nor do they prohibit what that act permits.

There is nothing in the tort and breach of contract claims that Ms. Davis has alleged in this case that creates a direct conflict with LIGA and its purpose. Ms. Davis has alleged in this case that an internet gaming operator has tortiously converted her property, engaged in fraud, and breached a contract that existed between them. These claims of impropriety on the part of an internet gaming operator could hardly be considered in direct conflict with a statute whose express purpose is to "protect residents of this state who wager on games of chance or skill through the internet . . . by establishing a secure, responsible, fair, and legal system of internet gaming." MCL 432.302(d). Indeed, the claims asserted by Ms. Davis against BetMGM in this case are entirely consistent with the underlying goals of LIGA as expressed in MCL 432.302(d).

In claiming that Ms. Davis's claims are inconsistent with LIGA, both BetMGM and the Court of Appeals majority here placed considerable emphasis on the Court of Appeals construction of MGCRA's preemption provision in *Kraft*. In that case, the plaintiff sued the manufacturer and designer of two slot machines and the Detroit casinos using these machines, alleging that the slot

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machines violated provisions of the Michigan Consumers Protection Act, MCL 445.901, *et seq*., and that the appearance of the slot machines fraudulently induced the public to play them. Specifically, the plaintiff alleged in *Kraft* that the slot machines failed to disclose the odds of winning a large payoff.

The *Kraft* Court noted that under administrative rules adopted by the Gaming Board pursuant to MGCRA,[14] the Gaming Board "puts gaming devices through rigorous randomness testing and ensures that the rules of the game are clearly displayed and not confusing or misleading." 261 Mich App at 542. The Court in *Kraft* further noted that, under the administrative rules, the Gaming Board "specifically authorized defendants to operate the slot machines at issue in this case." *Id.*

The Court in *Kraft* recognized that preemption is fundamentally a question of legislative intent that required an interpretation of §3(3) of MGCRA, and its reference to any other inconsistent law. Thus, the preemption question presented in *Kraft* turned on the question of whether "recognizing plaintiff's actions for fraud and unjust enrichment . . . would be inconsistent with the

[14]To a considerable extent the *Kraft* Court premised its preemption analysis on the administrative rules that the Gaming Board adopted under MGCRA. The *Kraft* Court did not address a preliminary question of constitutional dimension as to whether the administrative rules promulgated by an executive agency could be the basis for preempting a plaintiff's common-law claims. As noted previously, this Court has held on the basis of 1963 Const, art. 3, §7 that the common law remains in place unless altered by statute or modified by this Court. *Placek*, 405 Mich at 657; *Myers*, 375 Mich at 7. But the Court of Appeals in *Kraft* and again in its decision in this case did not merely find that common-law claims were preempted on the basis of language contained in acts passed by the Michigan Legislature. The Court of Appeals further concluded that the common-law theories in *Kraft* and those alleged by Ms. Davis here were preempted on the basis of the contents of regulations that were adopted by the Gaming Board. Opinion, at 5, 8 (App 209a, 212a). The initial question presented by this aspect of the Court of Appeals rulings in *Kraft* and this case is whether its conclusion that a plaintiff's common-law claims could be preempted by operation of an administrative regulation can be squared with the fact that the common law under art. 3, §7 of the Constitution can only be altered by an act of the Legislature or a decision of this Court. This is a separation of powers question that was not addressed in *Kraft* or by the Court of Appeals in this case.

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act." 261 Mich App at 547.

The *Kraft* Court found such an inconsistency based on the specific claims that the plaintiff was pursuing in that case:

> Because the MGCB monitors casino games to ensure integrity and, thus, to prevent fraud and deceit, we conclude that plaintiff's common-law claims are inconsistent with the MGCRA under MCL 432.203(3) and are thus inapplicable against defendants. We agree with defendants and the trial court that recognizing the common-law claims alleged by plaintiff would prohibit, through common-law claims alleged by plaintiff would prohibit, through common-law duties to disclose in the context of fraud or unjust enrichment, that which was permitted by the MGCB under the MGCRA. Imposition of liability under those circumstances would give rise to conflicting standards for gaming device manufacturers sand casino licensees because a casino license could use a gaming device that had been vigorously tested and approved by the MGCB, only to have a different standard imposed through the medium of the common law.

Id., at 551.

The *Kraft* Court, therefore, adopted a reading of "inconsistent" in §3(3) of MGCRA that is comparable to the "direct conflict" that this Court referenced in its decision in *DeRuiter*. What was unusual in *Kraft* was that the plaintiff's common-law claims would effectively prohibit that which the defendants were expressly permitted to do under MGCRA and its administrative rules.

This type of direct conflict in *Kraft* between the dates that the plaintiff's common-law claims would have imposed and that which MGCRA allowed does not exist in this case. Ms. Davis's common-law claims of conversion, fraud, and breach of contract do not prohibit that which LIGA expressly permits. Nor do thee claims permit that which LIGA expressly prohibits. For these reasons, this case is fundamentally different from the unique set of circumstances that were presented to the Court of Appeals in *Kraft*.

The only other "inconsistency" that the defendants have raised in this case is that the

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common-law claims asserted by Ms. Davis in her circuit court action are inconsistent with what the defendants and the Court of Appeals majority viewed as the exclusive jurisdiction of the Gaming Board. This argument requires a discussion of the second issue on which the Court has requested briefing in its May 29, 2024 order.

II. THE GAMING BOARD DOES NOT HAVE JURISDICTION, EXCLUSIVE OR OTHERWISE, OVER MS. DAVIS'S COMMON-LAW CLAIMS, BUT IF IT DID, THE GAMING BOARD WOULD BE COMPELLED TO APPLY COMMON-LAW PRINCIPLES.

After determining that Ms. Davis's common-law claims were preempted by LIGA, the Court of Appeals majority without further analysis, added a final paragraph to its opinion in which it indicated, "[i]f a statute vests the MGCB or other administrative agency with exclusive jurisdiction over a matter, the circuit court lacks subject matter jurisdiction." Opinion, at 7 (App 211a).

The second question that the Court has requested briefing on in its May 29, 2024 order granting leave to appeal is whether the Gaming Board has jurisdiction, exclusive or otherwise, over Ms. Davis's common-law claims, and, if so, what law would govern its resolution of these claims. Order (App 220a).

The question of whether exclusive jurisdiction to decide Ms. Davis's common-law claims rests with the Gaming Board, like the question of preemption, comes down to a question of legislative intent. *Papas v Michigan Gaming Board*, 257 Mich App 647, 657-658; 669 NW2d 326 (2003). And, for the same reasons discussed in the preceding section of this brief addressing preemption, it is clear that the Legislature did not intend to endow the Gaming Board with exclusive jurisdiction to consider all potential claims arising from internet gaming, including common-law claims.

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There is no provision in LIGA specifying that the Gaming Board has jurisdiction that is exclusive over any claims against an internet gaming operator. Moreover, as discussed previously, there is in §4(3) of LIGA specific reference to the fact that there will be some "laws" consistent with LIGA that will still be enforceable. And, as the Court of Appeals ruled in this case, the "law" that remains enforceable outside the confines of LIGA includes the common law. Opinion, at 6 (App 210a).

Since the Legislature can be charged with knowledge of the fact that common-law claims are almost universally within the jurisdiction of the circuit courts, see MCL 600.605, and since, in the view of the Court of Appeals majority, §4(3) of LIGA allows common-law claims consistent with the act to be enforced, it is impossible to come to the conclusion that the Legislature intended to vest the Gaming Board with exclusive jurisdiction to decide Ms. Davis's common-law claims.[15]

This certainly is the view that the Gaming Board itself expressed on several occasions during the course of this case. While acknowledging that under MCL 432.309(1)(c), it had the authority to "[c]onduct all hearings pertaining to the violations of this act or rules promulgated under this act," the Gaming Board in three different communications that are part of the record in this case made it

[15]Further support for the conclusion that the Gaming Board was not created to exercise exclusive jurisdiction over any complaint by a participant against a licensee can be found in the contract entered into between Ms. Davis and BetMGM, the BetMGM Terms of Service. Section 28 of that contract provides that any complaints or disputes must be first presented to BetMGM. Terms of Service, ¶28 (App 27a). The Terms of Service further specifies that if a participant like Ms. Davis is not satisfied with the response to the complaint, the participant *may* contact the Gaming Board. *Id*. The Terms of Service do not indicate that such review is mandatory. Moreover, the following section of the Terms of Service specifically provides that this agreement is to be construed under the laws of Michigan and, by entering into this agreement, Ms. Davis "irrevocably agree[d] to the exclusive consideration of the courts of Michigan for settlement of any dispute . . ." Terms of Service, ¶29 (App 27a). Both of these provisions refute BetMGM's argument that the Gaming Board has plenary authority to resolve disputes such as Ms. Davis's.

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clear that "the patron dispute process exists to inform the Board of potential violations of [LIGA] by its licensees." Murley Letter (App 182a). And that the Gaming Board's powers "include supervising internet gaming operations, investigating alleged violations of the act, and upon the finding of a violation of the Act and Rules, the Board may direct a licensee to take any corrective action the board considers appropriate." *Id*.

But while the Gaming Board views itself as having broad authority to address *violations* of LIGA by one of its licensees, it does not have authority to "determine the merits of any outstanding dispute or litigation between an authorized participant and the internet gaming operation . . ." *Id.*

BetMGM has, in essence, taken the position that the Gaming Board has misread both the statute that the Gaming Board has been assigned to enforce and the administrative rules that the Gaming Board has itself issued. In the view of BetMGM and the Court of Appeals majority, the Gaming Board is not only vested with jurisdiction, but with *exclusive* jurisdiction, to decide Ms. Davis's common-law claims.

The position that BetMGM has taken in this case with respect to the Gaming Board's exclusive jurisdiction not only suffers from a complete lack of Legislative intent to vest the Gaming Board with such jurisdiction, it also runs afoul of the usual deference that Michigan courts are to give an administrative agency in the interpretation of the statutes that an agency is responsible for enforcing. While this Court is not bound by an agency's determination, it does give "respectful consideration to the construction of a statute by an agency charged with implementation and enforcement of the statute such that an agency's interpretation will not be overruled absent cogent reasons for doing so . . ." *Technical, Professional, and Office Workers Ass'n of Michigan v Renner*, ___ Mich ___; ___ NW3d ___ (2024), quoting *In re Rovas Complaint Against SBC Michigan*, 482

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Mich 90, 103; 754 NW2d 259 (2008).

There are no cogent reasons for this Court to reject the Gaming Board's own determination of the limited scope of its authority to address the common-law claims that Ms. Davis has filed in this case. For all of these reasons, the Court must reject the conclusion that the Gaming Board has exclusive jurisdiction over Ms. Davis's common-law claims.

Finally, the Court has also asked the parties to brief the question of, assuming that the Gaming Board has jurisdiction to entertain Ms. Davis's cause of action, what law should govern resolution of this dispute. The Court need not resolve this question since, for the reasons discussed herein, the Gaming Board has no such jurisdiction.

But, assuming for the sake of argument that the Gaming Board possesses jurisdiction to consider Ms. Davis's claim under LIGA, not only must that statute provide a remedy, but that remedy must be adequate. *Cf Pace v Edel-Harrelson*, 499 Mich 1, 108, n. 19; 878 NW2d 784 (2016); *Rivera v SVRC Industries*, 507 Mich 962, 963-964; 959 NW2d 704 (2021); *Stegall v Resource Technology Corp*, ___ Mich ___; ___ NW3d ___ (2024).

Such a view of the law that is to be applied were the Gaming Board found to have jurisdiction in this case would be in keeping with the position that BetMGM took in the circuit court. At the initial hearing on BetMGM's motion to dismiss, counsel for the defendant argued that the Gaming Board had the full authority "to make the situation right." Tr. 12/8/21, at 28 (App 153a). When the circuit court at the December 8, 2021 hearing on BetMGM's motion to dismiss expressed doubts as to whether the Gaming Board had the authority to provide Ms. Davis a remedy, counsel for BetMGM responded:

But there is, Your Honor. The regulations and the statutes specifically say that the

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> Gaming Control Board, after doing an investigation of any complaint, may direct and enter a gaming operator or internet gaming platform provider to take any corrective action the Board appropriate.
>
> And that would include a term or release of her money. So they to have that authority, Your Honor.
>
> * * *
>
> Well, I think the question being is yes, they have authority. *If they determined that that money is appropriately Ms. Davis', then they have the authority to say whatever they need to say to the operator in order to either return the money –*
>
> * * *
>
> There is a remedy there. There is a Patron Dispute process. And in fact, *they have more remedy than they typically would have in a civil lawsuit.*
>
> * * *
>
> I just have argued extensively in our briefing set up *allows the Gaming Control Board to do whatever it needs to do with respect to the providers of the games to make the situation right*.

Id., at 22-28 (App 148a-153a).

Counsel for BetMGM was, at least at the time of the hearing on defendant's motion to dismiss, of the view that Ms. Davis, in presenting her claims to the Gaming Board, was entitled to "more remedy" than she would typically possess in a civil lawsuit. *Id.*, at 24 (App 149a). Plaintiff would not go quite so far. But, if there is to be a finding that the Gaming Board has exclusive jurisdiction to decide Ms. Davis's claims, her administrative remedy should be commensurate with the remedies available to her in her tort and breach of contact claims that she filed in the circuit court.

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RELIEF REQUESTED

For the foregoing reasons, plaintiff-appellant, Jacqueline Davis, requests that this Court reverse the Court of Appeals September 28, 2023 decision and remand this case to the Wayne County Circuit Court for further proceedings.

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CERTIFICATION PURSUANT TO MCR 7.312(A)

Mark Granzotto, attorney for plaintiff-appellant, hereby certifies pursuant to MCR 7.312(A) that this brief was typed using the Corel Word Perfect word processing program. That program has a function which can calculate the total number of words contained in a document. According to that program function, there are 12,665 allowable words in this brief.

/s/ Mark Granzotto
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